

Financial Market Inflation Expectations

—— 11/2024



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I. SUMMARY

Fourteen domestic and one foreign analyst sent in their contributions to the November survey of financial market inflation expectations. The data obtained do not indicate any major changes. The one-year inflation forecast remains unchanged, whereas the expected inflation rate at the three-year horizon has shifted slightly downwards, almost to the inflation target. The estimate for Czech GDP growth this year is also unchanged. The outlook for next year is less optimistic. The majority of respondents expect the December meeting of the CNB Bank Board to result in a cut in interest rates, but this time the number of analysts who expect rates to remain unchanged is very similar. The expected development of the koruna exchange rate reflects recent developments on the foreign exchange market, and this time analysts have weaker expectations of an early correction to stronger levels. The expected rate of wage growth this year is also unchanged since the last survey, but the forecast for next year has been shifted slightly upwards.

DOMESTIC ANALYSTS	I.	II.	III.	IV.	V.	VI.	VII.	VIII.	IX.	X.	XI.	XII.
Jiří Polanský, Česká spořitelna	+	+	+	+	+	+	+	+	+	+	+	+
Jan Vejrnělek, Komerční banka	+	+	+	+	+	+	+	+	+	+	+	+
Patrik Rožumberský, Unicredit Global Research	+	+	+	+	+	+	+	+	+	+	+	+
Helena Horská, Martin Kron, Raiffeisenbank	+	+	+	+	+	+	+	+	+	+	+	+
Petr Dufek, Banka CREDITAS	+	+	+	+	+	+	+	+	+	+	+	+
Petr Sklenář, J&T Banka	+	+	+	+	+	+	+	+	+	+	+	+
Radomír Jác, Generali Investments CEE	+	+	+	+	+	+	+	+	+	+	+	+
Jaromír Šindel, Citi	+	+	+		+	+	+	+		+	+	
Kamil Kovář, Moody's Analytics	+		+	+	+	+				+	+	
Jan Kudláček, Tomáš Lébl, Patrick Vyroubal, UNIQA	+	+	+	+	+	+	+	+	+	+	+	+
Jakub Seidler, ČBA	+	+	+	+	+	+	+	+	+			
Lukáš Kovanda, Trinity Bank	+	+	+	+	+	+	+	+	+	+	+	+
Michal Šoltés, RoklenFin	+	+	+	+	+	+	+	+	+	+	+	+
Martin Janičko, MND	+	+	+	+	+	+	+	+	+	+	+	+
Jan Bureš, ČSOB			+		+	+		+		+		
David Havrlant, ING					+	+	+	+	+	+	+	+
FOREIGN ANALYSTS												
Basak Edizgil, Goldman Sachs	+	+	+	+	+	+	+	+	+			
Sili Tian, The Economist Intelligence Unit	+	+	+	+		+	+	+	+	+		
Jose A. Cerveira, JP Morgan	+	+		+	+	+	+	+	+	+	+	+

We would like to thank everyone who contributed to this survey of financial market inflation expectations.

Prague, 25 November 2024

II. INFLATION

FORECAST FOR Y/Y CPI GROWTH

(%)

November 2024	CPI	
	1Y	3Y
minimum	1.1	2.0
average	2.2	2.1
maximum	2.9	2.5

1Y AND 3Y FORECAST FOR CPI GROWTH

(%)

Date of Prediction	ANALYSTS		CNB (%)
	1Y	3Y	1Y
XI.23	2.8	2.3	
XII.23	2.9	2.3	4Q: 2.8
II.24	2.4	2.3	1Q: 1.7
IV.24	2.2	2.2	2Q: 1.9
VII.24	2.1	2.1	
IX.24	2.2	2.1	3Q: 1.9
X.24	2.2	2.2	
XI.24	2.2	2.1	4Q: 2.4

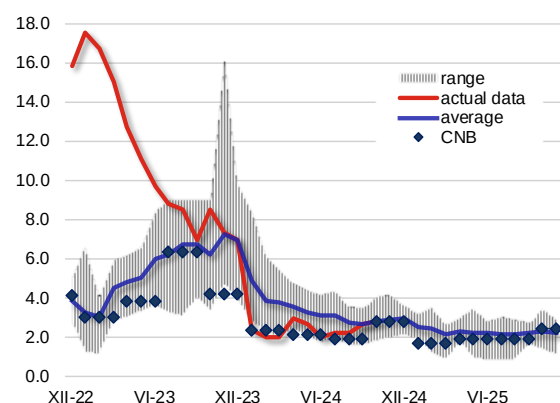
The consumer price index rose by 2.8% year on year in October. This is 0.2 percentage point higher than in September. The acceleration in price growth was due mainly to higher prices in housing, followed by restaurants and accommodation. On the other hand, cheaper fuels had the greatest dampening effect. Overall, goods prices rose by 1.3% and services prices by 5.3% year on year. In month-on-month terms, consumer prices rose by 0.3%. This was partly due to price increases in food and non-alcoholic beverages, housing and clothing with footwear. Goods prices are rising more slowly (+0.2%) in month-on-month terms than services prices (+0.5%). Although inflation is accelerating, the analysts did not change their one-year forecast, which thus remained at 2.2%. The three-year forecast even recorded a slight decline (of 0.1 percentage point to 2.1%). The range of individual one-year forecasts narrowed owing to a larger decline in the maximum value, while the maximum and minimum values and the range of the three-year forecasts were unchanged.

Some analysts believe that inflationary pressures in services are not easing much, which is evident in price developments, for example, in holidays and hospitality. In their opinion, the consumer price index could show a similar annual rate in November as in October, while in December (given the base effects) it could even slightly exceed the upper boundary of the tolerance band around the inflation target. Services prices are likely to have an inflationary effect on the back of strong wage growth and a recovery in household consumption. Inflation is expected to slow next year, due, for example, to tight monetary policy and a subdued manufacturing sector. By contrast, renewed growth in property prices and persisting inflation in services are likely to foster a rise in consumer prices. Inflation could be slightly above the inflation target in the coming years. This should be due to the continuing economic recovery as well as a strong labour market and strong wage growth. The impact of possible tariffs, which also have the potential to increase inflation, remains unclear.

The CNB autumn forecast expects consumer prices to rise by 2.4% year on year in 2025 Q4.

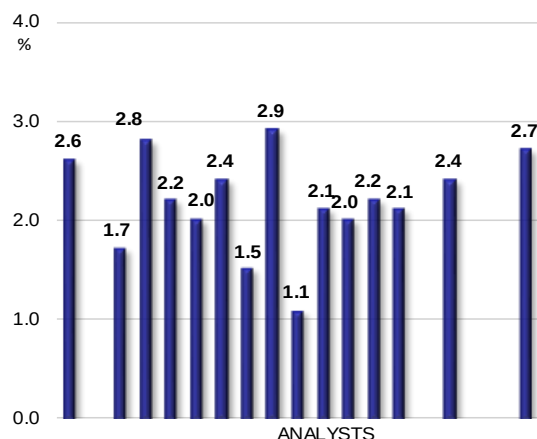
CONSUMER PRICE INDEX

ACTUAL DATA AND 1Y PREDICTIONS OF ANALYSTS (AVERAGE) AND OF CNB (%)



CONSUMER PRICE INDEX AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS (%)



III. GROSS DOMESTIC PRODUCT

FORECAST FOR GDP GROWTH

(%)

November 2024	current year	current+1Y
minimum	0.8	1.5
average	1.0	2.1
maximum	1.1	2.7

FORECAST FOR GDP GROWTH

(%)

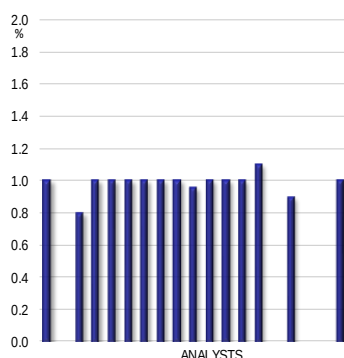
Date of Prediction	current year	current+1Y
XI.23	-0.3	1.8
XII.23	-0.4	1.4
I.24	1.2	2.6
IV.24	1.2	2.6
VII.24	1.3	2.6
IX.24	1.0	2.5
X.24	1.0	2.4
XI.24	1.0	2.1

According to a preliminary estimate, Czech gross domestic product rose by 1.3% year on year in 2024 Q3. The CZSO states that household final consumption expenditure, which has been constantly rising since the start of the year, was the biggest contributor to this growth. However, government final consumption expenditure and external demand also made positive contributions. By contrast, investment had a negative impact. In quarter-on-quarter terms, the domestic economy expanded by 0.3% in Q3, driven by domestic demand. External demand was flat. However, the published macroeconomic data did not significantly affect the annual average forecast in our survey. The analysts continue to expect the domestic economy to grow by 1.0% this year. By contrast, the outlook for next year is less optimistic, with economic growth expected to accelerate to 2.1%, which is 0.3 percentage point lower than expected in October. The range of the individual estimates for this year narrowed due to both an increase in the minimum and a decrease in the maximum. The outlooks for next year also have a narrower range due to a decrease in the maximum predicted value.

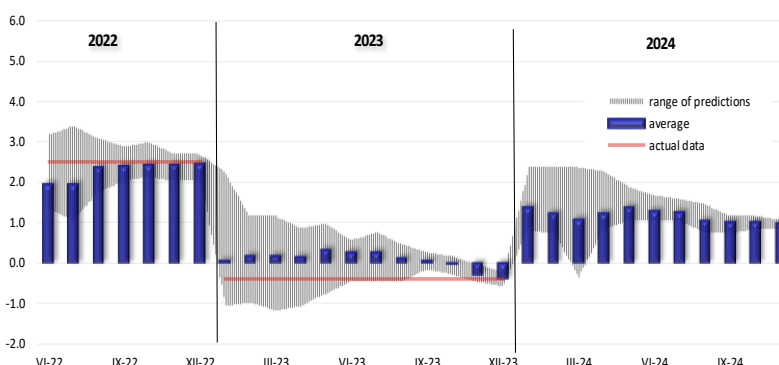
According to the commentaries, the newly published macroeconomic data have not changed the view of the overall development of the economy. Growth is likely to be driven by domestic consumption, buoyed by lower inflation than before, real wage growth and improved household sentiment. The release of inventories from the high levels of previous years has the opposite effect on economic growth. At the end of the year, weak external demand from Germany and possibly higher investment as a result of the devastating floods will affect the domestic economy. Greater recovery by the domestic economy can only occur over the next two years, as soon as the German economy improves, stimulating Czech foreign trade and investment in turn. Expansionary fiscal policy related to the upcoming parliamentary elections could also have a pro-growth effect.

The CNB autumn forecast expects GDP to grow by 1.0% in 2024 and accelerate to 2.4% in 2025.

INDIVIDUAL 1Y PREDICTIONS OUTLOOK FOR THIS YEAR



GDP GROWTH AT END OF YEAR AVERAGE AND RANGE OF PREDICTIONS



IV. INTEREST RATES – 2W REPO, PRIBOR, IRS

FORECAST FOR 2W REPO, 12M PRIBOR AND 5Y AND 10Y IRS

(%)

Date of Prediction	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
XI.23	6.83	4.38	6.40	4.25	4.30	3.62	4.23	3.64
XII.23	6.81	4.33	6.20	4.13	3.96	3.58	3.91	3.62
II.24	5.75	3.66	4.90	3.50	3.41	3.21	3.45	3.27
IV.24	5.29	3.49	4.31	3.47	3.71	3.33	3.81	3.45
VII.24	4.51	3.35	4.21	3.42	3.58	3.45	3.66	3.55
IX.24	4.25	3.36	3.73	3.34	3.29	3.39	3.43	3.50
X.24	4.01	3.25	3.67	3.28	3.38	3.35	3.53	3.50
XI.24	3.87	3.22	3.66	3.28	3.48	3.38	3.63	3.53

FORECASTS: MINIMUM, AVERAGE AND MAXIMUM 2W REPO, 12M PRIBOR, 5Y AND 10Y IRS

(%)

November 2024	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
minimum	3.75	2.75	3.45	2.75	3.17	2.70	3.16	2.80
average	3.87	3.22	3.66	3.28	3.48	3.38	3.63	3.53
maximum	4.00	4.00	4.10	3.70	3.70	3.70	3.90	3.85

ACTUAL INDICATOR VALUES AS OF FORECAST DEADLINE

(%)

	2W repo rate	12M PRIBOR	5Y IRS	10Y IRS
15.11.	4.00	3.66	3.54	3.70

A narrow majority of the respondents who participated in the November survey (8 out of 15) expect the 2W repo rate to be lowered by 25 basis points to 3.75% at the CNB Bank Board meeting in December. The remaining seven analysts expect key interest rates to remain unchanged until the end of the year. The relatively high level of interest rates compared to inflation speaks in favour of lower interest rates. Furthermore, the weak growth of the domestic economy is not creating any significant inflationary pressures. And last but not least, there has been a lowering of interest rates in the euro area. The CNB's prudence in an environment of inflation close to the upper boundary of the tolerance band and concerns about the development of services prices both support keeping rates at their current level. Wages and the koruna exchange rate could also play a role. Moreover, the Governor is clearly indicating that the gradual rate cuts may be temporarily suspended.

The analysts continue to expect key interest rates to be lowered at the one-year horizon. The majority of the respondents continue to estimate that the 2W repo rate will be at 3% in a year's time. Some of them perceive a downward shift in the expected terminal level of the interest rate in the Bank Board's communication. For example, slower growth in potential output compared to the pre-pandemic period and the weak economy, for which the current level of interest rates is too restrictive, speak in its favour. However, given the CNB Bank Board's hawkish rhetoric, the risks that this scenario will not in fact come to pass are rather tilted towards higher interest rates.

ANALYSTS' FORECAST – 2W REPO RATE LEVEL IN 1Y

(%)

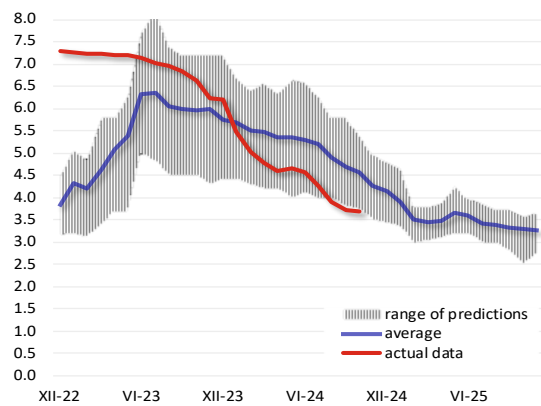
2W repo rate level in 1Y (%)	2.50	2.75	3.00	3.25	3.50	3.75	4.00
number of analysts - current survey	0	2	5	4	2	1	1
-previous survey	1	0	6	5	2	2	1

Given the CNB's continued easing of monetary policy, the 12M interbank reference rate on the market has fallen slightly since the last survey (by 5 basis points). The analysts' one-month and one-year forecasts have shifted in the same direction by 1 basis point. By contrast, swap market rates have risen over the same period (IRS 5Y and 10Y maturity +6 basis points) and their forecasts have been raised by 2 to 10 basis points, with a larger upward shift in rates at the one-month time horizon.

The CNB autumn forecast implies a 2W repo rate of 3.0% in 2025 Q4.

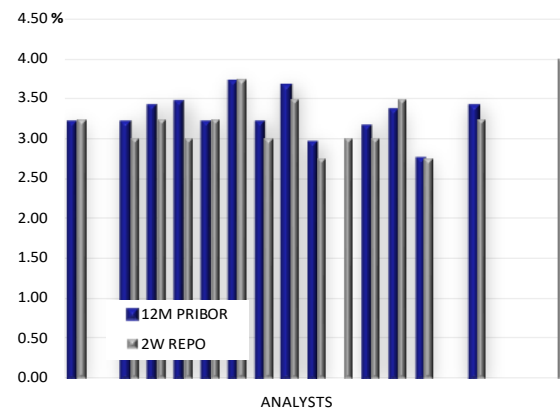
12M PRIBOR AT 1Y

ACTUAL DATA, AVERAGE AND RANGE OF PREDICTIONS



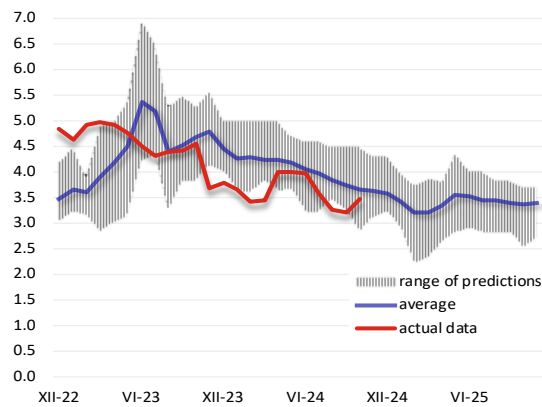
2W REPO AND 12M PRIBOR AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



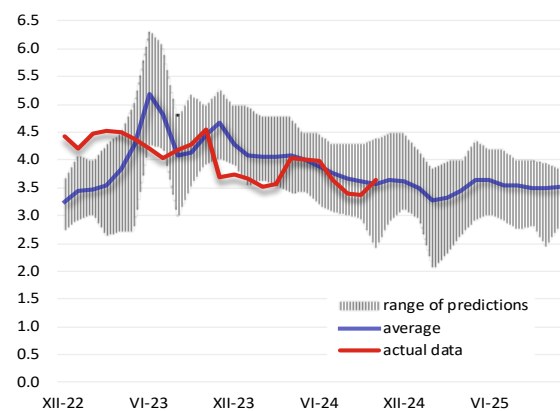
5Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



10Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



V. EXCHANGE RATE

1M AND 1Y EXCHANGE RATE FORECAST

	1M	1Y
XI.23	24.63	24.58
XII.23	24.52	24.51
II.24	25.25	24.78
IV.24	25.28	24.74
VII.24	25.21	24.70
IX.24	25.07	24.75
X.24	25.16	24.62
XI.24	25.27	24.84

EXCHANGE RATE FORECAST

November 2024	EUR/CZK	
	1M	1Y
minimum	25.20	24.00
average	25.27	24.84
maximum	25.40	26.50

ACTUAL EUR/CZK AS OF FORECAST DEADLINE

15.11.	25.29
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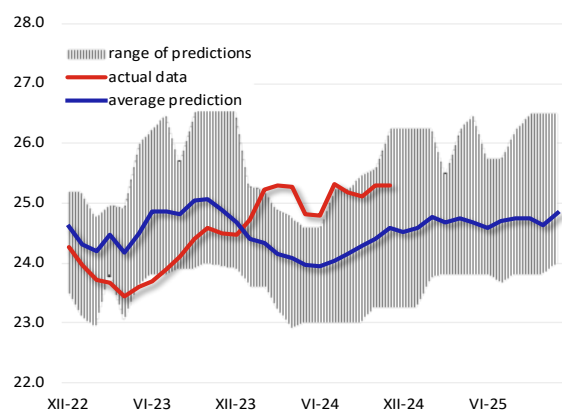
The koruna exchange rate was very close to its October survey level at the cut-off date for the November survey, weakening from CZK 25.24 to the euro to CZK 25.29 to the euro. According to some commentaries, this represents an easing of the monetary conditions in the Czech economy and is reducing the need to cut interest rates. The analysts' average forecast was also adjusted to weaker levels, but with a greater range. They have probably accepted that the koruna exchange rate will also remain close to CZK 25.30 to the euro in the coming weeks, and have set the one-month forecast at CZK 25.27 to the euro (compared to 25.16 in October). They continue to assume a gradual appreciation scenario over the subsequent 11 months and estimate the koruna to be close to CZK 24.84 to the euro in mid-November 2025 (compared to 24.62 in the previous survey).

The analysts believe that the koruna, like the other currencies in our region, is now influenced by global factors. In their opinion, the weakening from around CZK 25.0 to the EUR is, in addition to the increased geopolitical tensions, the result of higher US economic growth, a change in market expectations regarding the Fed's future policy, and Donald Trump's victory in the US election. However, a return to the convergence scenario, which will foster appreciation of the koruna, should gradually take place. An increase in the volume of sales of income from the CNB's foreign exchange reserves, which some respondents are also speculating about, could also help the koruna to strengthen.

The CNB autumn forecast expects a koruna exchange rate of CZK 25.5 to the euro in Q4 2025.

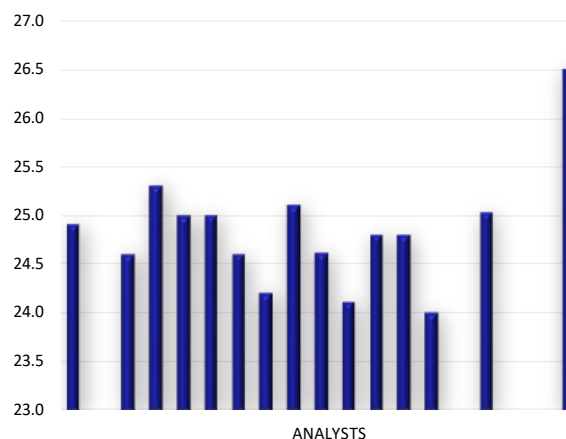
EUR/CZK

ACTUAL DATA, 1Y PREDICTIONS AND THEIR RANGE



EUR/CZK AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



VI. NOMINAL WAGES

FORECAST FOR NOMINAL WAGE GROWTH

(%)

November 2024	current year	current+1Y
minimum	6.0	3.5
average	6.7	5.6
maximum	7.2	7.0

FORECAST FOR NOMINAL WAGE GROWTH

(%)

Date of Prediction	current year	current+1Y
XI.23	8.1	6.5
XII.23	7.8	6.5
II.24	6.2	5.2
IV.24	6.1	5.1
VII.24	6.8	5.4
IX.24	6.7	5.5
X.24	6.7	5.5
XI.24	6.7	5.6

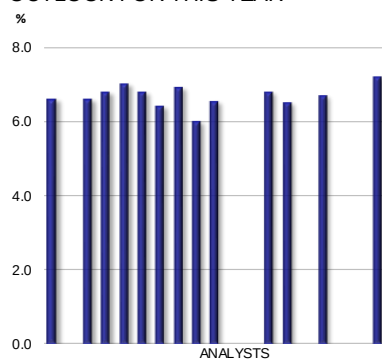
Unemployment fell by 0.1 percentage point to 3.8% in October, according to the Labour Office of the Czech Republic. This represents an increase of 0.3 percentage points over the same month last year. On a month-on-month basis, there was a decrease in the number of job seekers by 1,902 to 289,003, which is 23,031 more than the number of registered job vacancies. In an international comparison, the Czech Republic's unemployment rate is the second-lowest in the EU. According to the CZSO, employment rose by 2.3% year on year in 2024 Q3, although the number of entrepreneurs decreased, mainly because of a lower number of entrepreneurs without employees. The employment rate rose by 0.4 percentage point year on year to 75.7%. Under ILO methodology, the general unemployment rate was 2.7% in 2024 Q3, the same as a year ago.

The latest macroeconomic developments and newly published macroeconomic data, not only for the labour market, did not lead the analysts in our survey to adjust the average forecast for expected wage growth this year. They thus continue to expect nominal wages to increase by 6.7% in 2024. By contrast, the outlook for next year expects wage growth to slow to 5.6%, 0.1 percentage point higher than indicated in the October survey.

The CNB autumn forecast expects nominal wages to rise by 6.4% in 2024, with growth slowing to 5.7% in 2025.

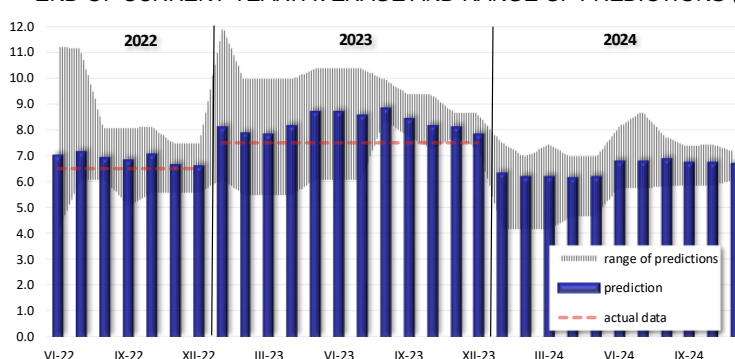
INDIVIDUAL 1Y PREDICTIONS

OUTLOOK FOR THIS YEAR



NOMINAL WAGE GROWTH

END OF CURRENT YEAR: AVERAGE AND RANGE OF PREDICTIONS (%)



Issued by:
CZECH NATIONAL BANK
Na Příkopě 28
115 03 Praha 1
Czech Republic

Contact:
COMMUNICATIONS DIVISION
GENERAL SECRETARIAT
Tel.: +420 224 413 112
www.cnb.cz